

SENATE BILL 1875

By Johnson

AN ACT to amend Tennessee Code Annotated, Title 67,
Chapter 1, Part 18; Title 67, Chapter 3, Part 11
and Title 67, Chapter 6, relative to taxation.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-1-1801(b)(1), is amended by deleting the language "attached to the notice" and substituting instead the language "attached to the complaint".

SECTION 2. Tennessee Code Annotated, Section 67-3-1103(a), is amended by deleting the subsection and substituting instead the following:

(a) A person using a liquified gas propelled motor vehicle, including a motor vehicle equipped to use liquified gas interchangeably with another motor fuel, that is required to be licensed in this state for use on the public highways, shall pay the liquified gas tax on delivery of the liquified gas into the fuel supply tank of a motor vehicle.

SECTION 3. Tennessee Code Annotated, Section 67-3-1104(c), is amended by deleting the last sentence of the subsection.

SECTION 4. Tennessee Code Annotated, Section 67-3-1104(d), is amended by deleting the subsection and substituting instead the following:

(d) A dealer permit authorizes a dealer to collect and remit taxes on liquified gas delivered into the fuel supply tanks of motor vehicles.

SECTION 5. Tennessee Code Annotated, Section 67-3-1107(b), is amended by deleting the subsection and substituting instead the following:

(b) A user permit must be issued upon proper application on a form prescribed by the commissioner and is permanent and valid so long as the permittee furnishes

timely reports and remits the taxes when due, or until surrendered by the holder or cancelled by the commissioner.

SECTION 6. Tennessee Code Annotated, Section 67-3-1108, is amended by deleting the section and substituting instead the following:

(a) A dealer who makes a sale or delivery of liquified gas into a fuel supply tank of a motor vehicle is liable to the state for the tax imposed and shall report and pay the tax in the manner required by this part.

(b) A user who submits reports and pays the tax according to § 67-3-1110(b) and (c) may deduct the amount of tax paid to a dealer from the amount of tax due.

SECTION 7. Tennessee Code Annotated, Section 67-3-1110(b), is amended by deleting the first sentence of the subsection and substituting instead the following:

A permitted user operating a vehicle used for commercial purposes, who does not pay the liquified gas tax to a dealer, is required to submit a report on or before July 25 of each year, for the previous July 1 through June 30 period, and shall remit the tax due.

SECTION 8. Tennessee Code Annotated, Section 67-3-1110(c)(1), is amended by deleting the last sentence of the subdivision.

SECTION 9. Tennessee Code Annotated, Section 67-3-1111, is amended by deleting the section and substituting instead the following:

A user who submits reports and pays the tax according to § 67-3-1110(b) and (c) is entitled to a refund of liquified gas tax paid on each gallon of liquified gas used outside the state. On verification by the commissioner that the report was complete and timely filed, the refund must be paid if ten dollars (\$10.00) or more is due to the user. No refund less than ten dollars (\$10.00) shall be paid. A refund shall not be granted if the report is not timely filed.

SECTION 10. Tennessee Code Annotated, Section 67-3-1112(b), is amended by deleting the subsection.

SECTION 11. Tennessee Code Annotated, Section 67-3-1113(a), is amended by deleting the second sentence and substituting instead the following:

For the purpose of determining the tax on compressed natural gas, a gallon equivalent factor of five and sixty-six one-hundredths pounds (5.66 lbs.) per gallon shall be used.

For the purposes of determining the tax on hydrogen gas, a gallon equivalent factor of two and two-tenths pounds (2.2 lbs.) per gallon shall be used.

SECTION 12. Tennessee Code Annotated, Section 67-3-1114, is amended by adding the language "or hydrogen gas" immediately after the language "compressed natural gas", wherever it appears.

SECTION 13. Tennessee Code Annotated, Section 67-3-1119, is amended by adding the language "or hydrogen gas" immediately after the language "natural gas" wherever it appears.

SECTION 14. Tennessee Code Annotated, Section 67-3-1120(b), is amended by deleting the subsection and substituting instead the following:

(b) A natural gas or hydrogen gas dealer permit authorizes a dealer to collect and remit taxes on compressed natural gas or hydrogen gas delivered into the fuel supply tanks of motor vehicles by means of a qualified natural gas dispenser or hydrogen gas dispenser with meter capability. When compressed natural gas or hydrogen gas is delivered by a dealer to a customer's vehicle by means of a qualified natural gas dispenser or hydrogen gas dispenser, user permits under this part are not required.

SECTION 15. Tennessee Code Annotated, Section 67-3-1120(d), is amended by adding the language "or hydrogen gas" immediately after the language "compressed natural gas", wherever it appears.

SECTION 16. Tennessee Code Annotated, Section 67-3-1120(e), is amended by adding the language "or hydrogen gas" immediately after the language "compressed natural gas".

SECTION 17. Tennessee Code Annotated, Section 67-3-1120(f), is amended by deleting the subsection and substituting instead the following:

(f) Meters, qualified natural gas dispensers, and hydrogen gas dispensers are subject to inspection and verification by the department of agriculture's weights and measures in accordance with title 47, chapter 26, part 9, and such part's enforcement provisions.

SECTION 18.

(a) Tennessee Code Annotated, Section 67-6-102, is amended by adding the following as new, appropriately designated subdivisions:

() "Air-to-ground radiotelephone service" means a radio service, as that term is defined in 47 CFR 22.99, in which common carriers are authorized to offer and provide radio telecommunications service for hire to subscribers in aircraft;

() "Call-by-call basis" means any method of charging for telecommunications services where the price is measured by individual calls;

() "Communications channel" means a physical or virtual path of communications over which signals are transmitted between or among customer channel termination points;

() "Home service provider" has the same meaning as defined in 4 U.S.C.

§ 124(5);

() "Post-paid calling service":

(A) Means the telecommunications service obtained by making a payment on a call-by-call basis either through the use of a credit card or payment mechanism such as a bank card, travel card, credit card, or debit card, or by charge made to a telephone number which is not associated with the origination or termination of the telecommunications service; and

(B) Includes a telecommunications service that would be a prepaid calling service except it is not exclusively a telecommunication service;

(b) The Tennessee Code Commission is requested to make appropriate updates to cross-references to § 67-6-102 found in §§ 57-5-103(d), 67-4-1503, 67-6-209(c) and (d), 67-6-318, and 67-6-406 to reflect new subdivision designations resulting from the addition of new, appropriately designated subdivisions in accordance this Section.

SECTION 19. Tennessee Code Annotated, Section 67-6-102(7), is amended by deleting the language ". As used in this subdivision (7)" and substituting instead the language ", and for which".

SECTION 20. Tennessee Code Annotated, Section 67-6-509, is amended by deleting the language "volunteer seller" wherever it appears and substituting instead the language "CSP-compensated seller"; and is further amended by deleting the language "voluntary sellers" wherever it appears and substituting instead the language "CSP-compensated sellers".

SECTION 21. Tennessee Code Annotated, Section 67-6-905(a), is amended by deleting the subsection and substituting instead the following:

(a) As used in this section, unless the context otherwise requires:

(1) "Customer" means the person or entity that contracts with the seller of telecommunications services. If the end user of telecommunications services is not the contracting party, then the end user of the telecommunications service is the customer of the telecommunications service, but this provision only applies for the purpose of sourcing sales of telecommunications services under this section. "Customer" does not include a reseller of telecommunications service or for mobile telecommunications service of a serving carrier under an agreement to serve the customer outside the home service provider's licensed service area;

(2) "Customer channel termination point" means the location where the customer either inputs or receives the communications; and

(3) "End user" means the person who utilizes the telecommunications service. In the case of an entity, "end user" means the individual who utilizes the service on behalf of the entity.

SECTION 22. This act takes effect upon becoming a law, the public welfare requiring it.